

Our Team



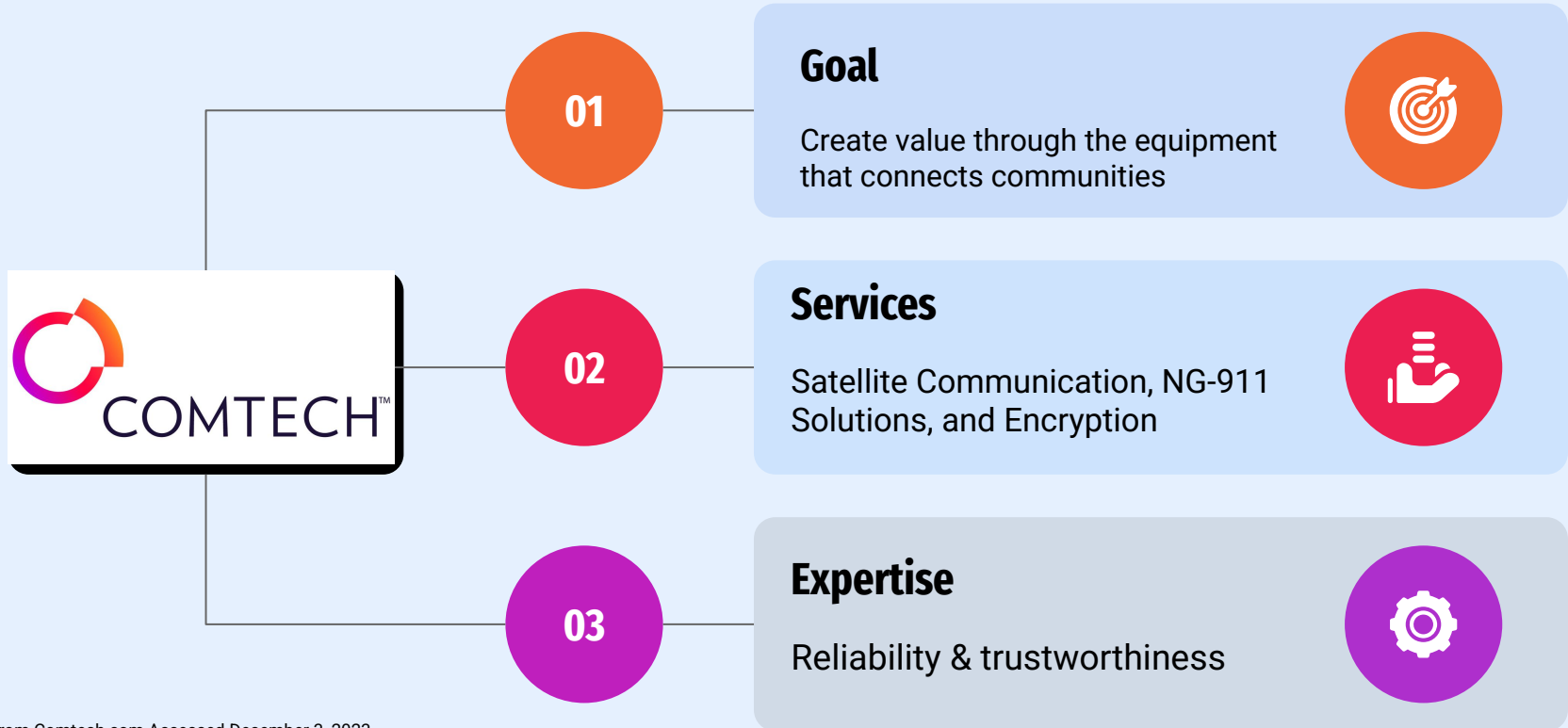


Comtech vs. Cisco

Investment Recommendation

Analysis by Nicholas, Andrew, Dhir, Natalie, Kayla, Kylie, Jessie

Comtech Telecommunications Recap



Adapted from Comtech.com Accessed December 3, 2023.

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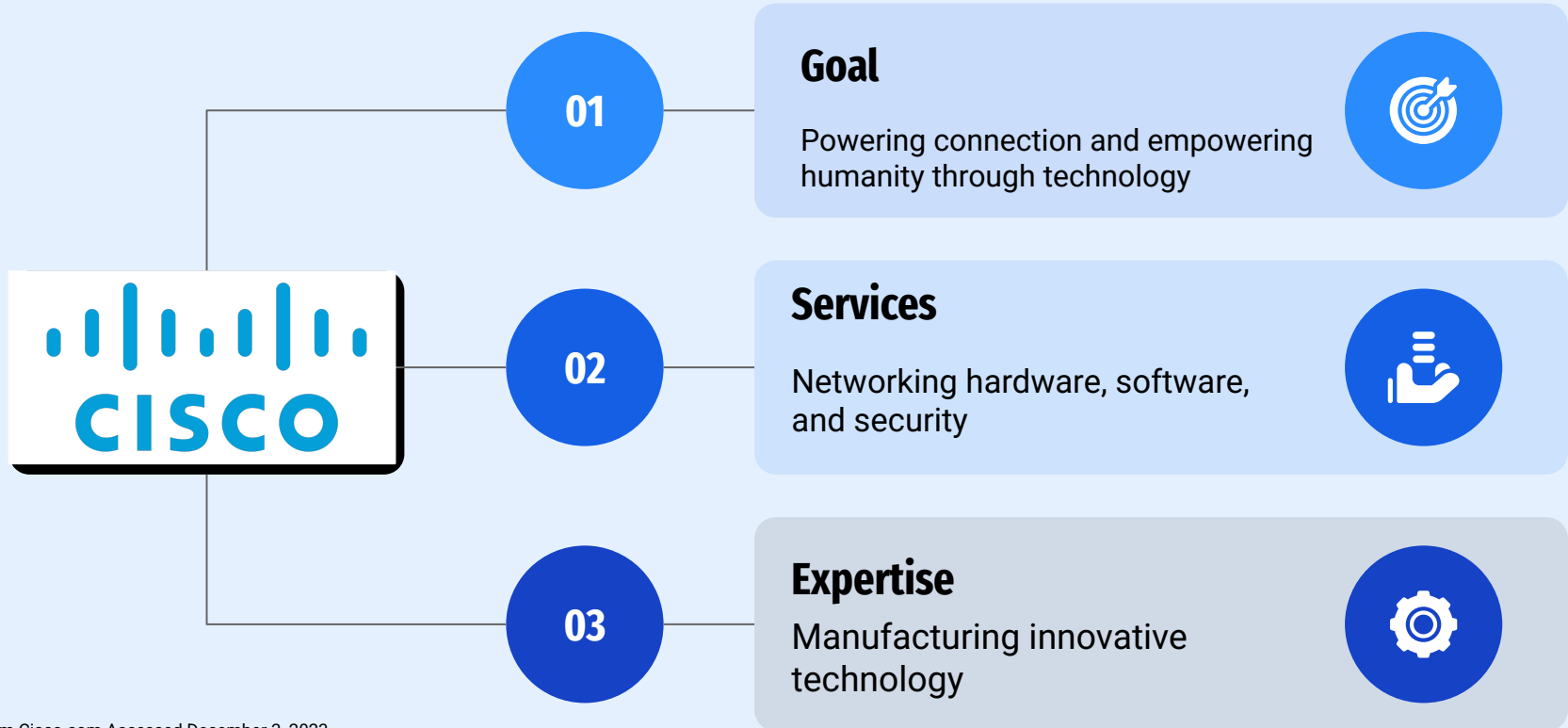
Marketing

CSR & CSV

Financials

Suggestion

Cisco Systems Recap



Adapted from Cisco.com Accessed December 3, 2023.

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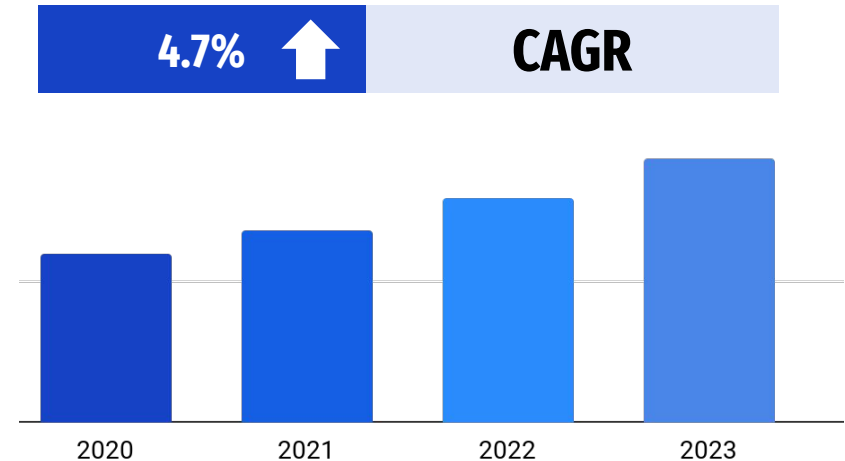
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The Telecommunications Industry is Growing



Adapted from Investopedia.com "What and how to invest in it"
Accessed December 3, 2023.

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Explaining Our Weighted Average Metric System

Company Culture

**10
%**

Operations

**20
%**

Marketing

**20
%**

CSR & CSV

15%

Financials

**35
%**

$$10\% + 20\% + 20\% + 15\% + 35\% = 100\%$$

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The Employees We Interviewed

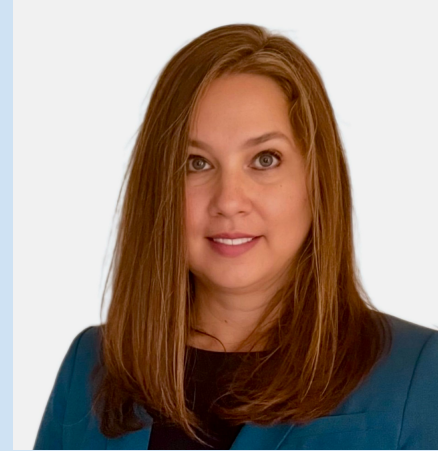
Comtech



Glenn Ichel

Corporate VP of Program
Management

Cisco



Michelle Satler

Project Specialist

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Comparing Cultures: Innovation vs. Opportunity

Comtech



Ken Peterman
Chairman, President &
CEO

A Culture of Innovation

“Comtech **innovation** culture is what defines us. We have a clear vision: **relentlessly** pursuing a better way to **connect everything and everyone**”

Cisco



Chuck Robbins
Chair & CEO of Cisco
Systems Inc.

A Culture of Opportunity

“Cisco's mission is to shape the future of the Internet by **creating unprecedented value** and **opportunity** for our customers, employees, investors, and ecosystem partners.”

Adapted from “ComTech”. <https://comtech.com/>

Adapted from “We Are Cisco: Cisco Careers.” Cisco, November 14, 2023.
<https://www.cisco.com/c/en/us/about/careers/we-are-cisco.html>.

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Comtech: Team - Driven Innovation vs. Neglected Professional Development"

Pros

1. **Team Centric Culture**
2. **Research and Development**
3. **Investment in Employee Growth**

Cons

1. **Low Pay and Extended Hours**
2. **Zero Training (sink or swim)**
3. **Lack of Urgency**

Adapted from "Comtech Telecommunications". Accessed December 3, 2023
<https://www.glassdoor.com/Reviews/Comtech-Telecommunications-Reviews-E2135.htm>.

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Cisco's Pros and Cons: Driven Culture vs. Poor Job Security

Pros

1. **Collaborative and uplifting company culture**
2. **Multiple inclusive communities**
3. **Jobs provide time to maintain a good work/life balance**

Cons

1. **Poor management**
2. **Frequent Layoffs (quarterly and annually)**
3. **Roles can be overly stressful**

Adapted from Cisco Systems Reviews - Glassdoor. Accessed December 3, 2023.
<https://www.glassdoor.com/Reviews/Cisco-Systems-Reviews-E1425.htm>.

Culture - Score Break Down

Comtech

7
10

- **Empowering Team Values**
- **Flexible & Respectful Atmosphere**
- **Call for Structure Enforcement**

Cisco

8
10

- **Invests in Bias Training**
- **Motivating and Efficient Teams**
- **Helps Build one's Best Self**



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The Innovative Operation Strategy of Comtech

People

1. **Collaborative** workplace
2. Emphasizing **teamwork** over competition.
3. New hires receive direct guidance from managers

Process

1. One such initiative is EVOKE, our Innovation Center.
2. EVOKE is **PIONEERING** new business ideas
3. New solutions that can **ENHANCE**

Partnership

1. Companies around the world “Qualcomm, TomTom, Verizon, EMG”.
2. Sales engagement, marketing support, technical resources
3. **Government**

Place

1. **Worldwide** ground station support and satellite tracking solutions
2. Online platforms

Adapted from Progressive, Innovative, Niche. Manufacturing.” Comtech Industries. Accessed December 3, 2023. <https://www.comtech-industries.com/our-process>.

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The Flexible Operation Strategy of Cisco

People

1. Three month training-**equal opportunity based**
2. Engaging, fulfilling, and inclusive environment
3. Global teams that **promote experimentation** and collaboration

Process

1. Operates on **Assemble-to-order** Approach
2. Demand planning, scheduling, production
3. **Order Cycle Changes**

Partnership

1. Emphasizes **technology and automation** for efficiency
2. Prioritizes **adaptability to market changes**
3. Circular Business Model

Place

1. 36% real estate decrease
2. Benefits from economies of scale
3. Spread across **80 countries and over 200 corporate offices**

Adapted from Woodun, Chetan. "Cisco: Long-Term Supply Chain Strength When Comparing to Juniper (CSCO)." Seeking Alpha, May 24, 2022. <https://seekingalpha.com/article/4513957-cisco-long-term-supply-chain-strength-compare-juniper>.

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Comtech

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- **Strategic Government Partnership**
- **Innovative Global Solution**
- **Lack of execution**

Cisco

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- **Adaptability to Market**
- **Technological Focused Efficiency**
- **Sustainability for Long-Term Success**

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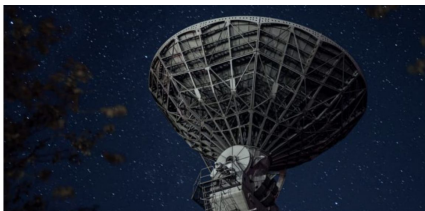
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Different Product Variation and Specializations

Comtech



Broadcast



Enterprise



Maritime



Military & Defense



Space



Telecom

Cisco



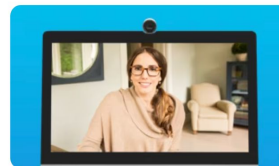
Networking



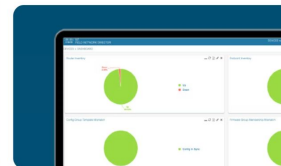
Wireless and
Mobility



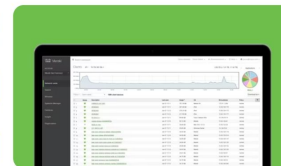
Security



Video



Internet of Things
(IoT)



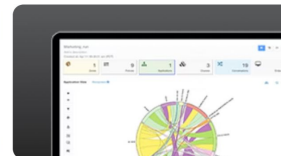
Software



Collaboration



Data Center



Analytics

Adapted from "Home," Comtech Telecommunications Corp., October 23, 2023, <https://comtech.com/>.

Adapted from "Products, Solutions, and Services." Cisco, 2023, <https://www.cisco.com/c/en/us/products/index.html>.

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Similar Pricing Strategies

Comtech

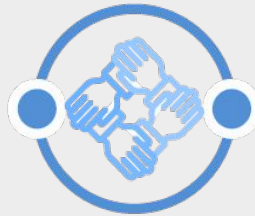
Cisco

Strategies Typical of the Telecommunications Industry

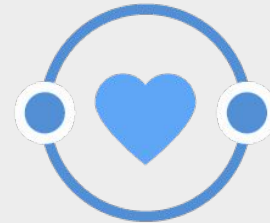
Cost Based Pricing



Competitive Pricing



Value Based Pricing



Adapted from "Home," Comtech Telecommunications Corp., October 23, 2023, <https://comtech.com/>.

Adapted from "Marketing Mix of Cisco - Cisco Marketing Mix."Marketing91. May 23, 2023.
<https://www.marketing91.com/marketing-mix-cisco/>.

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Comtech's Reliable Partnerships

Government Contract



Comtech provides solutions for government through **contracts** with **government agencies**.

B2B



Partnerships with U.S.-based telecommunications companies

Adapted from "The Long Term Perspective on Markets," Macrotrends, accessed November 30, 2023, <https://www.macrotrends.net/>.

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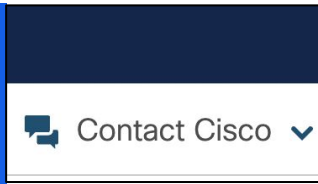
Cisco's Distribution Channels & Global Presence

Personal Selling



Cisco's sales team pitches products to **big corporations**

Website



Small businesses contact Cisco representatives through Cisco's website

Partnerships



End consumers buy Cisco's products through partners

Adapted from "Comprehensive Marketing Mix of Cisco with SWOT Analysis." IIIDE. June 23, 2023. <https://iide.co/case-studies/marketing-mix-of-cisco/>.

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Comtech's Consistent Promotion

a mix of advertising, public relations, and direct marketing

Sales Strategy

Providing ongoing customer support



Technology Showcase

Highlighting technological advancements and innovations



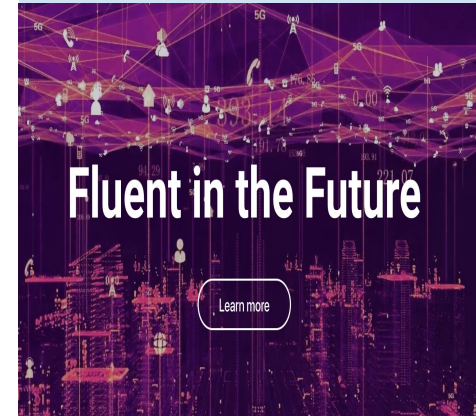
CRM

Customer relations management



Digital Marketing

Online promotion and a well-designed website



Adapted from "The Long Term Perspective on Markets," Macrotrends, accessed November 30, 2023, <https://www.macrotrends.net/>.

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Cisco's Well-Rounded Promotion

A mix of blogging, advertising, direct marketing, and events

Advertising

Through news, business, and technology **websites**, and cable television **infomercials**



Events

Cisco hosts & attends **world-wide** in-person, digital, hybrid, and webinar **events**



Direct Marketing

Telemarketing, telephone, and e-marketing

Additional Strategies

Blogging, Networking Academy **books**, and **partnerships** with engineering colleges

Routing and Switching Essentials
Companion Guide



Adapted from "Marketing Mix of Cisco - Cisco Marketing Mix." Marketing91. May 23, 2023. <https://www.marketing91.com/marketing-mix-cisco/>.

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Marketing Strategy - Score Break Down

Comtech

6
10

- **Strong public relations**
- **Secure distribution channels**
- **Consistent promotion**

Cisco

7
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- **Diverse & Strategic product offering**
- **Strong global presence**
- **Well-rounded promotion**



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Suggestion

CSV: Enhancing Public Safety

Emergency Response Services



911 Emergency Call



Text to 911



988 Suicide and Crisis Lifeline

Comtech creates shared value by providing 911 emergency call and 911 text service, now aiming to integrate the 988 service to enhance overall emergency response operations.

Adapted from "The Long Term Perspective on Markets," Macrotrends, accessed November 30, 2023, <https://www.macrotrends.net/>.



CSR: Sustainability & Inclusivity

"Powering an Inclusive Future for All"



Environmental sustainability



Supply chain sustainability



Economic Empowerment



Nonprofit partnerships
and grant program

Corporate Social Responsibility (CSR) at Cisco supports the company's purpose to Power an Inclusive Future for All that benefits our employees, communities, and the planet.

Adapted from "Networking, Cloud, and Cybersecurity Solutions," Cisco, November 29, 2023, <https://www.cisco.com/site/us/en/index.html>.

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CSR & CSV Score Break Down

Comtech

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10

- **CSV oriented**
- **Enhances public safety**
- **Consistent innovation**

Cisco

8
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- **Strong CSR projects**
- **Environmentally conscious**
- **Promotes inclusivity**



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Comtech's Fluctuating Income Statement

Figures in thousands

	2023	2022	2021	2020
Net Revenue	\$550,000	\$486,000	\$582,000	\$617,000
Cost of goods	\$366,000	\$306,000	\$368,000	\$390,000
Gross Profit	\$184,000	\$180,000	\$214,000	\$227,000
Operating Expenses	\$199,000	\$214,000	\$282,000	\$212,000
Operating Income	(\$15,000)	(\$34,000)	(\$68,000)	\$15,000
Tax & Net income	\$19,000	\$9,000	\$5,000	\$8,000
Net Income	(\$34,000)	(\$43,000)	(\$73,000)	\$7,000

Adapted from: "Comtech Telecommunications Corp. (CMTL) Stock Price, News, Quote & History
- Yahoo Finance"

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Cisco's Impressive Income Statement

Figures in thousands

	2023	2022	2021	2020
Net Revenue	\$58,034,000	\$51,557,000	\$49,818,000	\$49,301,000
Cost of goods	\$21,070,000	\$19,309,000	\$17,924,000	\$17,618,000
Gross Profits	\$36,964,000	\$32,248,000	\$31,894,000	\$31,683,000
Operating Expenses	\$20,541,000	\$18,273,000	\$18,175,000	\$17,582,000
Operating Income	\$16,423,000	\$13,975,000	\$13,719,000	\$14,101,000
Tax & Interest Costs	\$2,842,000	\$2,163,000	\$3,128,000	\$2,887,000
Net Income	\$13,581,000	\$11,812,000	\$10,591,000	\$11,214,000

Adapted from "Cisco Systems, Inc. (CSCO) Balance Sheet." Yahoo! Finance, November 30, 2023.
<https://finance.yahoo.com/quote/CSCO/balance-sheet?p=CSCO>.

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Comtech and Cisco Balance Sheet Comparison

Figures in thousands

Comtech	2023
Total Assets	\$996,000
Current Assets	\$305,000
Non-Current Assets	\$691,000
Total Liability	\$446,000
Current Liabilities	\$212,000
Non-Current Liabilities	\$234,000
Total Equity	\$551,000
Stockholders' Equity	\$551,000

Adapted from "Comtech Telecommunications Corp. (CMTL) Stock Price, News, Quote & History - Yahoo Finance"

Figures in thousands

Cisco	2023
Total Assets	\$101,852,000
Current Assets	\$43,348,000
Non-Current Assets	\$58,504,000
Total Liability	\$57,499,000
Current Liabilities	\$31,309,000
Non-Current Liabilities	\$26,190,000
Total Equity	\$44,353,000
Stockholders' Equity	\$44,353,000

Adapted from "Cisco Systems, Inc. (CSCO) Balance Sheet." Yahoo! Finance, November 30, 2023. <https://finance.yahoo.com/quote/CSCO/balance-sheet?p=CSCO>.

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Comparing Financial Ratios

2023	Comtech	Cisco	Industry Average
Profit Margin	-6.16%	23.4%	23.02%
Operating Margin	-2.67%	28.3%	27.39%
Inventory Turnover Ratio	3.45	1.5	4.99
Return on Investment	-2.11%	31.38%	2.3%
Total Debt Ratio	45%	56.45%	65%
Debt to Equity Ratio	0.30	1.3	1.23
Return on Equity	-0.05%	29.31%	4.6%
Market Cap	\$360 million	\$193.43 billion	\$6.7 billion

Adapted from: "Comtech Telecommunications Corp. (CMTL) Stock Price, News, Quote & History - Yahoo Finance", "Comtech Telecommunications (FRA:CC6) Inventory Turnover"

Adapted from "Communications Services Industry." CSIMarket. Accessed November 30, 2023.
https://csimarket.com/Industry/industry_ManagementEffectiveness.php?ind=905.

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Stock Performance and Valuation Analysis

Comtech

Market Summary > Comtech Telecommunications Corp

11.81 USD

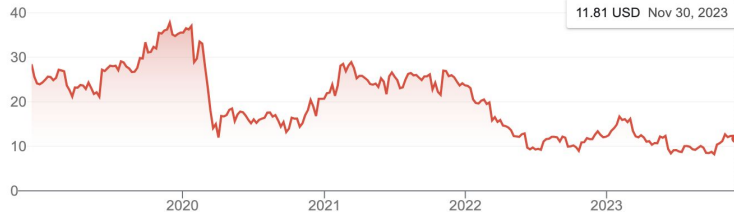
-16.63 (-58.47%) ↓ past 5 years

Closed: Nov 30, 4:20 PM EST • Disclaimer

After hours 11.81 0.00 (0.00%)

+ Follow

1D 5D 1M 6M YTD 1Y 5Y Max



P/E: N/A

Market Cap: \$360 million

Cisco

Market Summary > Cisco Systems Inc

48.38 USD

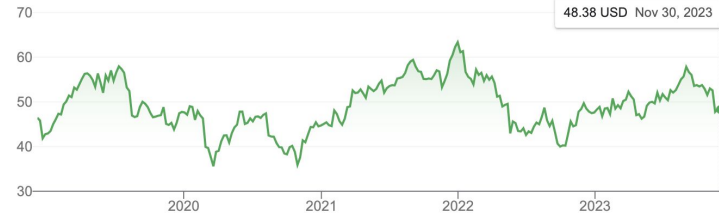
+1.94 (4.18%) ↑ past 5 years

Closed: Nov 30, 4:49 PM EST • Disclaimer

After hours 48.38 +0.0016 (0.0033%)

+ Follow

1D 5D 1M 6M YTD 1Y 5Y Max



P/E: 14.60

Market Cap: \$193.43 billion

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Financials - Score Break Down

Comtech



$\frac{3}{10}$

- Profit and Operating Margin in the negatives
- Negative ROI
- TDR: 45% vs industry average 65%

Cisco



$\frac{9}{10}$

- Consistent increase in net income
- ROI: 31.38% vs. Industry average of 2.3%
- Debt to equity ratio of 1.3

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We Recommend You Invest In Cisco

Comtech	Category	Cisco
Score Calculation: Raw score x Category weight		
$7 \times 0.1 = \mathbf{0.7}$	Culture (10%)	$8 \times 0.1 = \mathbf{0.8}$
$7 \times 0.2 = \mathbf{1.4}$	Operations (20%)	$8 \times 0.2 = \mathbf{1.6}$
$6 \times 0.2 = \mathbf{1.2}$	Marketing (20%)	$7 \times 0.2 = \mathbf{1.4}$
$9 \times 0.15 = \mathbf{1.35}$	CSR & CSV (15%)	$8 \times 0.15 = \mathbf{1.2}$
$3 \times 0.35 = \mathbf{1.05}$	Financials (35%)	$9 \times 0.35 = \mathbf{3.15}$
$\mathbf{5.7/10}$	Final Scores Sum	$\mathbf{8.15/10}$

Thank you!

Q&A